

SUPERIOR COURT OF CALIFORNIA, COUNTY OF LOS ANGELES

Civil Division

North Valley District, Chatsworth Courthouse, Department F41

24CHLC00778

STUDENT LOAN SOLUTIONS, LLC vs DALTON C GAUDIN

August 29, 2024

11:45 AM

Judge: Honorable Brock T. Hammond

Judicial Assistant: M. Henderson

Courtroom Assistant: None

CSR: None

ERM: None

Deputy Sheriff: None

APPEARANCES:

For Plaintiff(s): No Appearances

For Defendant(s): No Appearances

NATURE OF PROCEEDINGS: Court Order

The Court issues the following ruling on the submitted matter heard on 07/09/2024:

The Defendant's Demurrer - without Motion to Strike filed by Dalton C Gaudin on 04/15/2024 is Overruled.

Plaintiff's request for judicial notice of a trial court decision from Ventura County

As indicated by the Court during the hearing, the request for judicial notice of this decision in an unrelated case is DENIED. A trial court ruling is not a proper subject of judicial notice and is of no precedential value. (See Bolanos v. Superior Court (2008) 169 Cal.App.4th 744, 761.)

Defendant's request for judicial notice of the Complaint filed by Plaintiff in case number 22CHLC17031

Defendant seeks to have the Court take judicial notice of the complaint filed in Los Angeles Superior Court case number 22CHLC17031, Student Loan Solutions, LLC vs. Dalton C Gaudin, pursuant to Evidence Code section 452, subdivisions (d) and (h). Plaintiff offers no objection to this request, and Plaintiff notes in its Opposition to Defendant's Demurrer that a demurrer is "limited to the operative complaint's four corners, attached exhibits, and judicially noticeable matters." (Opposition, pp. 15-16, citation omitted.)

Defendant argues the relevance of this complaint is that it is an action previously dismissed by Plaintiff regarding the same underlying loan and the complaint reflects Plaintiff's previous use of the acceleration clause on August 10, 2018. Defendant contends that the acceleration clause has only been invoked one time on April 29, 2022. As noted below, the Court finds the prior complaint both an appropriate subject to take judicial notice of pursuant to Evidence Code section 452, subdivisions (d) and (h), and relevant to the issues raised in the demurrer. Therefore,

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Defendant's request for judicial notice of this complaint is GRANTED

Analysis of Defendant's Demurrer

Defendant demurred to the Complaint on the grounds that (1) it is barred by the applicable statute of limitations and (2) the doctrine of waiver applies to Plaintiff's delay in filing the Complaint. For the following reasons, the Court OVERRULES their demurrer.

Introduction

Plaintiff filed its Complaint on January 9, 2024, alleging a cause of action for breach of contract. The Complaint alleges that Defendant requested a type of student loan with payments due on the tenth day of each month beginning in December 2008. The Complaint alleges that the last payment received from Defendant was on November 5, 2012.

The Complaint states in section 22, "...[t]he statute of limitations begins to run on each installment payment as it becomes due unless and until the creditor affirmatively elects to declare the entire sum due. When acceleration occurs, the statute of limitations begins to run on all future installments. At the time of acceleration, all past due installments are still subject to the limitations period that began to run on each installment's respective due date."

Exhibit A to the Complaint contains the promissory note at issue. This agreement, apparently signed by Defendant, contains a "Whole Loan Due" provision in section "I". This provision states in relevant part, "To the extent permitted by applicable law, I will be in default and you have the right to give me notice that the whole outstanding principal balance, accrued interest, and all other amounts payable to you under the terms of this Credit Agreement if: (1) I fail to make any monthly payment to you when due;"

Section 24 of the Complaint alleges that Plaintiff accelerated by providing an acceleration notice dated April 29, 2022. The acceleration notice is attached to the Complaint as Exhibit C and is dated April 29, 2022.

Plaintiff's complaint in case number 22CHLC17031 contains the same letter as the current Complaint, and is similarly labeled as Exhibit C. Paragraph 12 of that complaint reads as follows: "Plaintiff alleges that within the last four years, on or about August 10, 2018, hereinafter referred to as the 'Acceleration Date', the Defendants became indebted on the Account at the accelerated sum of \$11,292.68. Student Loan Solutions, LLC, as Holder, accelerated the Note for \$11,292.68. SLS sent Defendants a written notice of acceleration sum via an Acceleration Notice

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dated April 29, 2022. A copy of the Acceleration Notice(s) is attached hereto as Exhibit 'C' and incorporated fully herein by this reference. As of August 10, 2022, the amount due otherwise known as the accelerated sum, forgoing applicable pre-judgment interest and excluding any amounts due more than 4 years ago, in the sum of all 124 installments due in the amount of \$91.07 each. ..."

In the current Complaint, Plaintiff is seeking unpaid payments dating to February 10, 2020 - slightly less than four years preceding the filing of the Complaint.

Legal Standard

A party may demur to a complaint on the grounds that it "does not state facts sufficient to constitute a cause of action." (Code Civ. Proc., § 430.10, subd. (e).) A demurrer tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747 (Hahn).) When considering demurrers, courts accept all well pleaded facts as true. (Fox v. JAMDAT Mobile, Inc. (2010) 185 Cal.App.4th 1068, 1078.) In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) "A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed." (SKF Farms v. Superior Court (1984) 153 Cal.App.3d 902, 905.) "The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action." (Hahn, supra, at p. 747.)

"A demurrer based on a statute of limitations will not lie where the action may be, but is not necessarily, barred. [Citation.] In order for the bar of the statute of limitations to be raised by demurrer, the defect must clearly and affirmatively appear on the face of the complaint; it is not enough that the complaint shows that the action may be barred." (Marshall v. Gibson, Dunn & Crutcher (1995) 37 Cal.App.4th 1397, 1403.) The statute of limitations for a breach of a written contract is generally four years from the date of breach. (Code Civ. Proc., § 337, subd. (a); Piedmont Capital Management, L.L.C. v. McElfish (2023) 94 Cal.App.5th 961, 968, 970.)

Statute of Limitations

Defendant argues that Plaintiff's cause of action is subject to the four year limitations period in Code of Civil Procedure section 337. With Defendant's last payment falling on November 5, 2012, Defendant argues that the limitations period expired in 2016. Defendant further argues that Plaintiff invoked its acceleration clause on August 10, 2018, and therefore, if the Court applies Piedmont to this case, the statute of limitations would have run in 2022.

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Piedmont addresses the issues raised by Defendant's demurrer. In Piedmont, the court held that the home equity line of credit ("HELOC") loan at issue in the case obliged the borrower to make a monthly payment, and this obligation was divisible from the borrower's duty to pay the full amount due pursuant to an acceleration clause. (Piedmont, supra, 94 Cal.App.5th at pp. 964-965.) By having a provision in the contract that sets a "fixed maturity date for the full amount and leaving it to the discretion of the lender whether to accelerate that date - necessarily contemplates that a breach as to monthly payment does not constitute a breach as to the full amount." (Ibid.)

The contract in the present case is for a student loan and it contains a similar acceleration provision (the "Whole Loan Due" clause) as the one described in Piedmont. Thus, for purposes of the statute of limitations, Defendant's lack of payment after Plaintiff's acceleration demand constitutes its own breach with its own statute of limitations. Given that Plaintiff filed the Complaint within four years of the April 29, 2022, notice of acceleration, the statute of limitations with respect to Plaintiff's claims in the Complaint is satisfied.

Defendant claims that Plaintiff made two separate acceleration demands in this case. Defendant focuses on language, quoted above, from Plaintiff's complaint in case number 22CHLC17031, which refers to August 10, 2018, as an "acceleration date." As noted above, the acceleration letter attached to Plaintiff's complaints as Exhibit C in the present case and the 2022 case is the same letter with the same date of April 29, 2022. The complaint in case number 22CHLC17031 was filed on August 5, 2022. In context, Plaintiff statement in the complaint in case number 22CHLC17031 appears to be referring to the August 10, 2018 date as the earliest date it could claim damages for Defendant's alleged breach, as the August 10, 2018 date marks the outer boundary of the applicable four-year statute of limitations from the filing of the 2022 case. In any event, Plaintiff does not appear to have actually conveyed an acceleration demand to Defendant on any date other than April 29, 2022. For purposes of this demurrer and the information considered by this Court - the Complaint, attached exhibits, and the complaint in case number 22CHLC17031 - the Court concludes that only one acceleration demand was made by Plaintiff and that demand was made on April 29, 2022.

Waiver

Defendant further argues that the passage of time between Defendant's last payment on the loan and the filing of the Complaint has resulted in a waiver of Plaintiff's right to accelerate payments on the loan.

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This issue is not appropriate to be raised on demurrer because a court is required to accept all well pleaded facts as true. The issue of whether an implied waiver exists is a question of fact. Kay v. Kay (1961) 188 Cal.App.2d 214, 218. Because questions of fact require “consideration and weighing of evidence”, they are not appropriate for resolution on demurrer. M.F. v. Pacific Pearl Hotel Management LLC (2017) 16 Cal.App.5th 693, 703.

Conclusion

Defendants' Demurrer to the Complaint is OVERRULED as to Plaintiff's causes of action for breach of contract.

Defendant is ordered to file an Answer no later than October 15, 2024.

Order to Show Cause Re: current status of case is scheduled for 10/23/2024 at 08:30 AM in Department F41 at Chatsworth Courthouse.

Certificate of Mailing is attached.